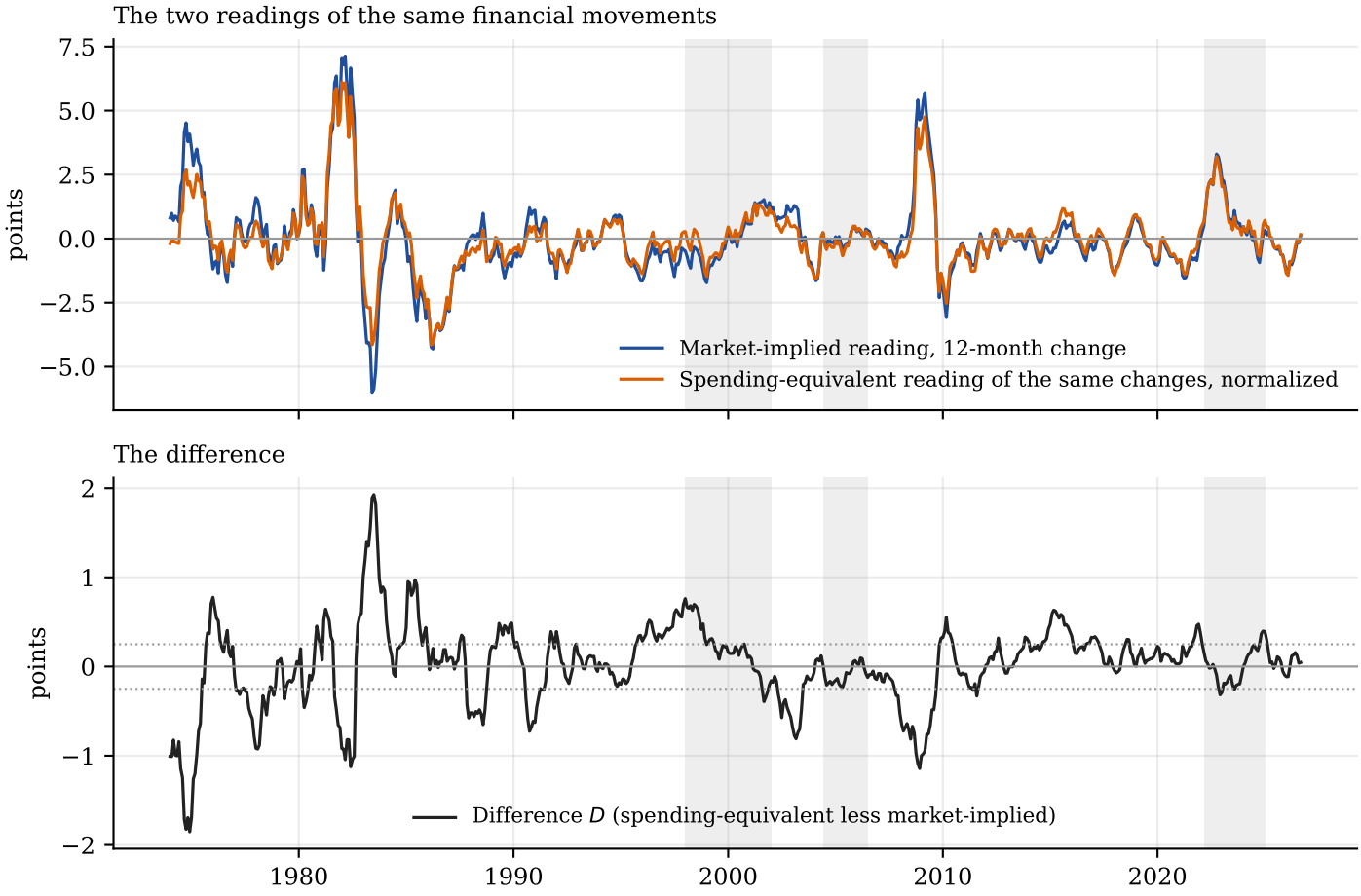
The two readings of the same financial movements
points
7.5
5.0
2.5
0.0
−2.5
−5.0
Market-implied reading, 12-month change
Spending-equivalent reading of the same changes, normalized
The difference
points
2
1
0
−1
−2
Difference D (spending-equivalent less market-implied)
1980
1990
2000
2010
2020